



June 30, 2020

Mr. Sameer Kumar Khare
Additional Secretary
Department of Economic Affairs (DEA)
Ministry of Finance
Government of India
North Block
New Delhi 110 001

Dear Mr. Khare:

**Re: Tamil Nadu Sustainable Urban Development Project
Loan Number 8488-IN
Amendment to the Loan Agreement**

We refer to the Loan Agreement between India ("Borrower") and the International Bank for Reconstruction and Development ("World Bank") dated June 3, 2015 ("Loan Agreement"), the Project Agreement between the World Bank and the State of Tamil Nadu ("Project Implementing Entity") ("Tamil Nadu Project Agreement"), and the Project Agreement between the World Bank and the Tamil Nadu Urban Development Fund ("TNUDF"), and Tamil Nadu Urban Infrastructure Financial Services Limited ("TNUIFSL") (the latter two, collectively "Project Implementing Entities") ("TNUDF-TNUIFSL Project Agreement"), of the same date, for the Tamil Nadu Sustainable Urban Development Project ("Project").

We also refer to the letter from the Department of Economic Affairs, Ministry of Finance F. No. 09/02/2014-Infra & Rural, dated March 11, 2020, requesting to remove sub-component B.2 from the Project and reallocate the amount of the Loan allocated to said sub-component to other components of the Project. This will require certain amendments to the Loan Agreement, the Tamil Nadu Project Agreement, and the TNUDF-TNUIFSL Project Agreement, as well as changes to the Results Framework for the Project.

We are pleased to inform you that the World Bank concurs with the request, and accordingly the Loan Agreement is amended as set forth below:

1. Parts B.2 and B.3(b) of the Project set forth in Schedule 1 to the Loan Agreement are deleted and the remaining Part is renumbered accordingly.
2. Section I.C of Schedule 2 to the Loan Agreement is deleted and the following Sections are renumbered accordingly.
3. The table in Section IV.A.2 of Schedule 2 to the Loan Agreement is deleted and the revised table is set forth in Annexure I.
4. Section IV.B.5 of Schedule 2 to the Loan Agreement is deleted and the remaining Section is renumbered accordingly.

5. Section I.31 of the Appendix to the Loan Agreement is amended by deleting the words "including the credit enhancement facility under Part B.2".
6. Section I.35 of the Appendix to the Loan Agreement is deleted.
7. The Results Framework for the Project is revised accordingly and is set forth in Annexure II.

Except as specifically amended in this letter, all other terms and conditions of the Loan Agreement shall remain in full force and effect.

The World Bank will disclose this amendment letter and related information in accordance with the World Bank's Policy on Access to Information. By agreeing to this amendment letter, the Borrower consents to disclosure of this amendment letter and related information.

Please confirm your agreement to the foregoing by signing the form of confirmation set forth below, and returning one fully executed original of this amendment letter to us and retaining one original for your records. This amendment letter shall become effective as of the date of the last countersignature of any of: (a) this amendment letter; (b) the Tamil Nadu Project Agreement amendment letter; and (c) the TNUDF-TNUIFSL Project Agreement amendment letter, upon receipt by the World Bank of the duly countersigned originals of all three amendment letters.

Yours sincerely,

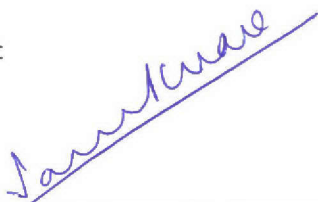
INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT

By 

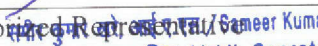
Junaid Kamal Ahmad
Country Director, India

AGREED:

INDIA

By: 

Authorized Representative / Sameer Kumar Khare, IAS
अपर सचिव / Addl. Secretary

Name: 
वित्त मंत्रालय / Ministry of Finance
आर्थिक कार्य विभाग / Department of Economic Affairs

Title: भारत सरकार / Government of India
नई दिल्ली / New Delhi

Date: 16-07-2020

Enclosures

Annexure I – Revised Withdrawal Schedule

Annexure II - Revised Results Framework

Annexure I**Attachment to the World Bank's Letter dated June 30, 2020****Tamil Nadu Sustainable Urban Development Project****Loan No. 8488-IN****Revised Withdrawal Table**

Category	Amount of the Loan Allocated (expressed in USD)	Percentage of Expenditures to be Financed (inclusive of Taxes)
1. Eligible Expenditure Programs under Part A.1 of the Project (see annex below).	54,000,000	90%
2. Credit enhancement facility under Part B.2 of the Project	0	90%
3. Sub Loans and Sub Grants under Part B.1 of the Project and goods, consulting services, non-consulting services, and Operating Costs under Part B.3 of the Project.	325,000,000	63%
4. Goods, works, non-consulting services, and consultants' services, and Operating Costs for Parts A.2 and C of the Project.	20,000,000	63%
5. Front-end Fee	1,000,000	Amount payable pursuant to Section 2.03 of this Agreement in accordance with Section 2.07 (b) of the General Conditions
6. Interest Rate Cap or Interest Rate Collar premium	0	Amount due pursuant to Section 2.08 (c) of this Agreement
TOTAL AMOUNT	400,000,000	

Annexure II

Attachment to the Bank's Letter dated June 30, 2020
Tamil Nadu Sustainable Urban Development Project

Loan No. 8488-IN

Revised Results Framework

COUNTRY: India
Tamil Nadu Sustainable Urban Development Program

Project Development Objectives(s)

To improve urban services delivery in participating ULBs in a financially sustainable manner and to pilot improved urban management practices in selected cities.

Project Development Objective Indicators by Objectives/ Outcomes

Indicator Name	DLI	Baseline	Intermediate Targets						End Target
			1	2	3	4	5	6	
Improve urban services in participating ULBs (Action: This Objective has been Revised)									
Direct project beneficiaries (Number)	0.00	0.00	0.00	0.00	0.00	500,000.00	1,000,000.00	1,500,000.00	2,200,000.00
Female beneficiaries (Percentage)	0.00	0.00	0.00	0.00	0.00	40.00	40.00	40.00	0.40
Repayment rates on sub-loans by TNUDF to ULBs (Percentage)	100.00	95.00	95.00	95.00	95.00	95.00	95.00	95.00	95.00
Pilot improved urban management practices in selected cities									

Indicator Name	DLI	Baseline	Intermediate Targets						End Target
			1	2	3	4	5	6	
Increase in Own Source Revenues (OSR) of 'Model Cities' in INR Crores over previous year with implementation of OSR improvement plans. (Text)		INR72 crores (FY13)	ULBs have prepared a revenue improvement plan and an action plan to improve its OSR.	ULBs have adopted the revenue improvement plan and an action plan to improve OSR.	15.00	15.00	22.50	22.50	Erode and Vellore Corporations have to show increase of Rs. 31.93 crore each in the end of project over and above the OSR of 2016-17 and Hosur Municipality has to show cumulative increase of OSR amounting to Rs. 15.96 crore in the end of Project over and above the OSR of 2016-17

Intermediate Results Indicators by Components

Indicator Name	DLI	Baseline	Intermediate Targets						End Target
			1	2	3	4	5	6	
A. Results Based Grants for Urban Governance Component									
Average increase on MoUD Service Level Benchmarks (SLB) Index for the 'Model Cities' related to solid waste household collection coverage. (Percentage)	65.00	65.00	65.00	70.00	75.00	80.00	85.00	90.00	
Improved ULB citizen engagement in the 'Model Cities'. (Text)	Grievances are received offline. Use of online grievance application is limited because of low		Each ULB has implemented all the e-governance modules as identified by DMA.			Each ULB has met grievance redressal response time requirement under its citizen charter in		Each ULB has implemented all the e-governance modules as identified by CMA.	

Indicator Name	DLI	Baseline	Intermediate Targets						End Target
			1	2	3	4	5	6	
		levels of awareness, technical glitches and poor visibility of the website.					80% of cases.		
Improved ULB empowerment in the 'Model Cities'. (Text)		Authority to approve capital works is low in terms of Administrative Sanction (AS) powers.	A government order (G.O.) has been issued to raise Administrative sanction to Rs. 2 crores for Vellore and Erode, and Rs. 80 lakhs for Hosur.	Each ULB has appointed a high quality Technical Expert Cell.		Each ULB has disclosed its audited financial statements for FY 2017-18 no later than September 30, 2018, pursuant to applicable laws, statutes, and rules			Each ULB has appointed a high quality Technical Expert Cell.
B. Investments in Urban Services Component (Action: This Component has been Revised)									
Length of Storm Water Drains constructed / rehabilitated and made operational under the project for Greater Chennai (Kilometers)	0.00	0.00	50.00	100.00	150.00	200.00	260.00	290.00	
Proportion of new / rehabilitated water / sewer connections achieved against aggregate target amongst participating sub-projects in these sub-sectors (Percentage)	0.00								70.00
Percentage of participating ULBs seeking investment support reporting delivery of improved urban services in their cities. (Percentage)	0.00	0.00	0.00	0.00	30.00	50.00	70.00	80.00	

Indicator Name	DLI	Baseline	Intermediate Targets						End Target
			1	2	3	4	5	6	
C. Urban Sector TA Component (Action: This Component has been Revised)									
No. of participating ULBs with new e-governance systems operational. (Number)	0.00	0.00	0.00	0.00	0.00	10.00	30.00	60.00	135.00
Number of participating ULBs with updated GIS maps. (Number)	0.00	0.00	0.00	0.00	0.00	0.00	10.00	20.00	30.00

cc:

Ms. S. Aparna, Executive Director (India), World Bank

Mr. Santosh Dattatraya Vaidya, Senior Advisor to Executive Director (India), World Bank

Government of India

Mr. Hanish Chhabra, Deputy Secretary, Department of Economic Affairs, Ministry of Finance

Mr. Sukhbir Singh, Controller of Aid Accounts and Audit, Department of Economic Affairs, Ministry of Finance

Mr. Durga Shanker Mishra, Secretary, Ministry of Housing & Urban Affairs

Government of Tamil Nadu

Mr. K. Shanmugam, Chief Secretary

Mr. S. Krishnan, Additional Chief Secretary, Finance Department

Mr. Harmander Singh, Additional Chief Secretary, Municipal Administration and Water Supply Dept.

TNUIFSL

Dr. K. Baskaran, Managing Director

Mr. A. Jayaraman, Senior Vice President and Company Secretary

Mr. D. Rajendiran, Vice President

Mr. D. Selva Pandian, Senior Assistant Vice President